

NATIONAL PENSION SCHEME

Not everybody is fit to invest with the National Pension Scheme. NPS offers additional Rs. 50,000 as a deduction which is over and above the Rs. 1.5 lac offered by Section 80C. We saw earlier how NPS works, how we can select from various classes and also how NPS has a very restricted withdrawal policy. However, NPS has a restrictive withdrawal policy i.e. we can only withdraw a small portion of our corpus after the age of 55 and the rest is converted to annuities. So, the only purpose of NPS is to plan for pensions and retirement. That is the only goal that NPS can help us meet.

Anyone below the age of 40 should refrain from investing in NPS since the lock-in is significantly high and thus are much better planning for retirement or long term goals using equity and mutual funds. Also, the time horizon is long which means compounding will have a significant role to play and as a result, we want a higher return from our assets.

